poor outcomes. In most management contexts, low-powered incentives work better.

This proves to be particularly important when transplanting ideas from advanced economies into India. In an advanced economy, there are many elements of checks and balances emanating from the legal and institutional environment. Those are often lacking in India. A high-powered incentive that works well in that environment often results in difficulties in India, because the remaining checks and balances are lacking.

Caution in setting up incentives around statistical measures

> *When a measure becomes a target, it ceases to be a good measure.*
>
> Goodhart's law, 1975

Suppose we think that a certain examination is a good measure of the knowledge of students. If we give teachers bonuses for the exam scores of their students, there is the danger that teachers will then narrowly 'teach to the test'. They will make sure the students do well in the examination. The apparent test scores will go up.

But the examination was never the end; it was the means. The examination was intended to be an instrument for measuring certain deeper knowledge. High-powered incentives that push teachers to deliver exam scores will succeed in obtaining higher test scores, but those test scores will be less informative in portraying what they were supposed to measure.

Example 6: Goodhart's law in innovation policy

At the starting point in India, researchers were like S. Ramanujan, C.V. Raman, C.R. Rao, S.N. Bose and J.C. Bose. They had very high intrinsic motivation and produced deep and original research. Despite the barriers of